PABRAI INVESTMENT FUNDS

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To:	All Limited Partners and Investors of the Pabrai Investment Funds
From:	Mohnish Pabrai, Managing Partner
Date:	January 18, 2024
Re:	**Q4 2023 Results etc.**

Dear Partners:

For the quarter ended December 31, 2023, a total of $15.7 million was added to the various funds by new and existing partners. December 31st was also our annual redemption date. A total of $64.9 million was redeemed from the various funds in 2023. In the last year, subscriptions were about $43 million, and redemptions were $64.9 million. We are going in the wrong direction! We have more good investment ideas than available cash today.

PIF2 is the oldest fund and has been closed to new investors for many years. SEC rules limit PIF2 to a total of 100 partners and the fund currently has four open slots. PIF2 is open to US-based investors who are Qualified Clients. The minimum investment to join PIF2 as a new partner is $5 million.

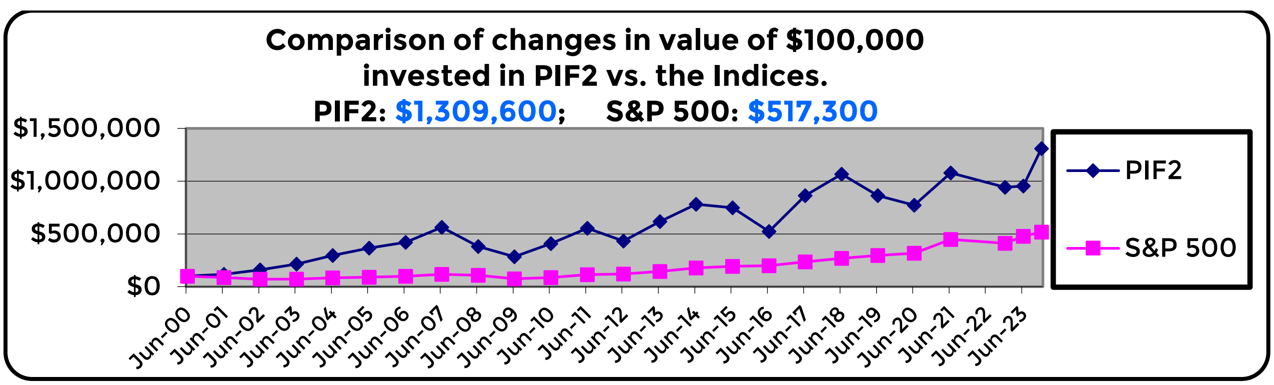
PIF3 is our offshore fund for non-US accredited offshore investors, and U.S. IRAs, foundations, and endowments. The minimum investment to join PIF3 as a new partner is $6 million. PIF3 is closed to new and existing IRAs but continues to be open to US foundations/endowments and foreign investors. PIF4 is for qualified US investors. The minimum investment to join PIF4 as a new partner is $5 million.

For existing investors in any of the funds, the minimum addition to their current investment is $25,000. Here are the deposit slips for PIF2, PIF3 and PIF4.

If you are interested in or would like more information about the April 1, 2024 opening, please contact me at mp@pabraifunds.com or Kimberly Engleman at ke@pabraifunds.com. The updated performance numbers on all the funds are:

THE PABRAI INVESTMENT FUND II, LP (US Qualified Investors) Performance Summary:

	S&P 500	PIF2 (net to investors)
10/1/00-6/30/01	-14.0%	17.4%
7/1/01-6/30/02	-18.0%	35.3%
7/1/02-6/30/03	0.3%	34.2%
7/1/03-6/30/04	19.1%	38.7%
7/1/04-6/30/05	6.3%	23.4%
7/1/05-6/30/06	8.6%	15.0%
7/1/06-6/30/07	20.6%	34.0%
7/1/07-6/30/08	-13.1%	-32.4%
7/1/08-6/30/09	-26.2%	-25.2%
7/1/09-6/30/10	14.4%	43.6%
7/1/10-6/30/11	30.7%	35.8%
7/1/11-6/30/12	3.9%	-21.8%
7/1/12-6/30/13	20.6%	42.2%
7/1/13-6/30/14	24.6%	26.7%
7/1/14-6/30/15	7.4%	-4.5%
7/1/15-6/30/16	4.0%	-30.0%
7/1/16-6/30/17	17.9%	64.9%
7/1/17-6/30/18	14.4%	23.9%
7/1/18-6/30/19	10.4%	-19.2%
7/1/19-6/30/20	7.5%	-10.6%
7/1/20-6/30/21	40.8%	39.7%
7/1/21-6/30/22	-10.6%	-28.9%
7/1/22-6/30/23	19.6%	24.6%
1/1/23-12/31/23	26.3%	39.0%
Annualized	**7.3%**	**11.7%**
Cumulative	**417.3%**	**1209.6%**

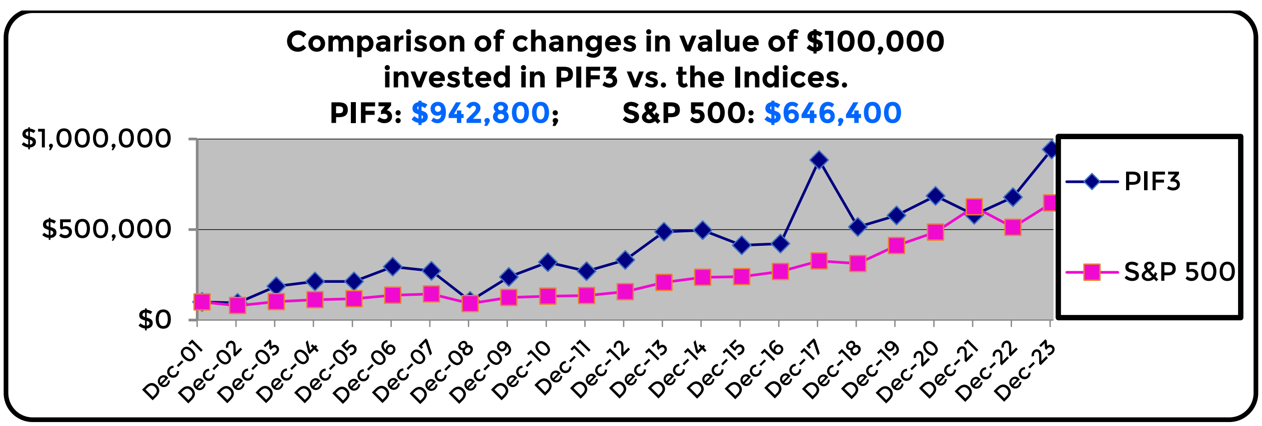


PIF2 Investors:

A $100,000 investment in PIFI at inception on July 1, 1999 and rolled over into PIF2 on 12/31/02 ($197,900) was worth $1,834,700 as of December 31, 2023 (net to investors). This equates to an annualized return of 12.6% since inception – after all fees and expenses. An investment of $100,000 in the S&P 500 on July 1, 1999 was worth $549,400 on December 31, 2023 – an annualized gain of 7.2%. The S&P 500 gains include reinvested dividends. In the graph above, the start date for PIF2 is shown as June 2000 for readability. The correct start date is October 2000.

PABRAI INVESTMENT FUND 3, LTD (Offshore/IRA Investors) Performance Summary:

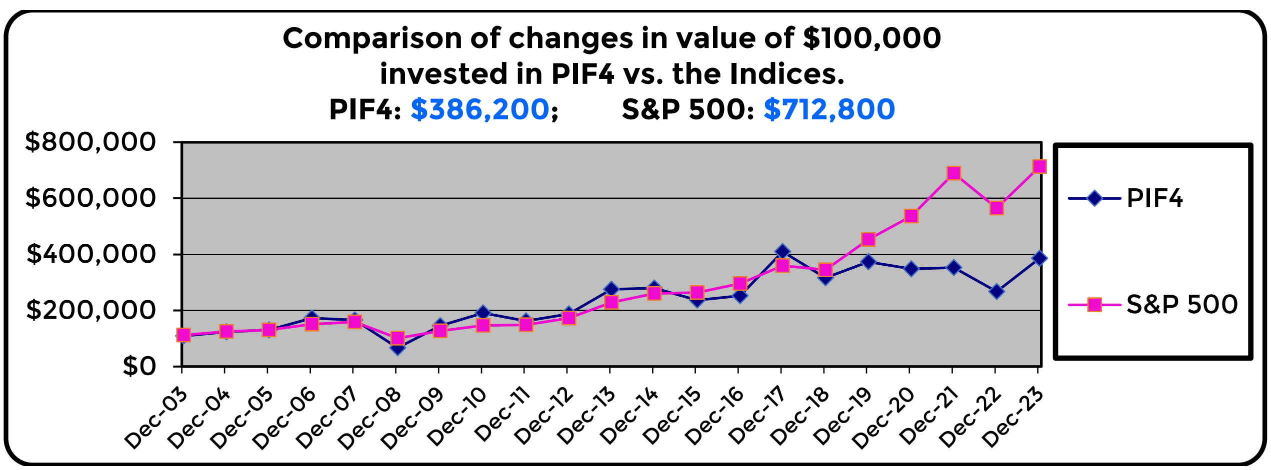
	S&P 500	PIF3 (net to investors)
2/1/02-12/31/02	-20.4%	-5.2%
1/1/03-12/31/03	28.7%	96.5%
1/1/04-12/31/04	10.9%	14.7%
1/1/05-12/31/05	4.9%	-0.2%
1/1/06-12/31/06	15.8%	37.8%
1/1/07-12/31/07	5.5%	-7.8%
1/1/08-12/31/08	-37.0%	-60.9%
1/1/09-12/31/09	26.5%	125.0%
1/1/10-12/31/10	15.1%	34.4%
1/1/11-12/31/11	2.1%	-15.7%
1/1/12-12/31/12	16.0%	23.4%
1/1/13-12/31/13	32.4%	46.6%
1/1/14-12/31/14	13.7%	1.9%
1/1/15-12/31/15	1.4%	-16.7%
1/1/16-12/31/16	11.9%	2.3%
1/1/17-12/31/17	21.8%	109.2%
1/1/18-12/31/18	-4.4%	-41.9%
1/1/19-12/31/19	31.5%	12.5%
1/1/20-12/31/20	18.4%	18.4%
1/1/21-12/31/21	28.7%	-15.2%
1/1/22-12/31/22	-18.1%	16.8%
1/1/23-12/31/23	26.3%	38.9%
Annualized	**8.9%**	**10.8%**
Cumulative	**546.4%**	**842.8%**



PIF3 Investors:
A $100,000 investment in PIF3 at inception on February 1, 2002 was worth $940,800 as of December 31, 2023 (net to investors). This equates to an annualized return of 10.8% since inception. An investment of $100,000 in the S&P 500 on February 1, 2002 was worth $646,400 on December 31, 2023 – an annualized gain of 8.9%. The S&P 500 gains include reinvested dividends. In the graph above, the start date for PIF3 is shown as December 31, 2001 for readability. The correct start date is Feb. 1, 2002.

THE PABRAI INVESTMENT FUND IV, LP (US Qualified Investors) Performance Summary:

	S&P 500	PIF4 (net to investors)
10/1/03-12/31/03	12.2%	8.4%
1/1/04-12/31/04	10.9%	14.4%
1/1/05-12/31/05	4.9%	4.9%
1/1/06-12/31/06	15.8%	32.4%
1/1/07-12/31/07	5.5%	-3.4%
1/1/08-12/31/08	-37.0%	-60.0%
1/1/09-12/31/09	26.5%	118.8%
1/1/10-12/31/10	15.1%	30.7%
1/1/11-12/31/11	2.1%	-14.8%
1/1/12-12/31/12	16.0%	16.1%
1/1/13-12/31/13	32.4%	46.0%
1/1/14-12/31/14	13.7%	1.8%
1/1/15-12/31/15	1.4%	-15.4%
1/1/16-12/31/16	11.9%	6.3%
1/1/17-12/31/17	21.8%	62.4%
1/1/18-12/31/18	-4.4%	-22.8%
1/1/19-12/31/19	31.5%	18.0%
1/1/20-12/31/20	18.4%	-6.7%
1/1/21-12/31/21	28.7%	1.5%
1/1/22-12/31/22	-18.1%	-24.4%
1/1/23-12/31/23	26.3%	44.7%
Annualized	**10.2%**	**6.9%**
Cumulative	**612.8%**	**286.2%**



PIF4 Investors:
A $100,000 investment in PIF4 at inception on October 1, 2003 was worth $386,200 as of December 31, 2023 (net to investors). This equates to an annualized gain of 6.9% since inception. An investment of $100,000 in the S&P 500 on October 1, 2003 was worth $712,800 on December 31, 2023 – an annualized gain of 10.2 %. The S&P 500 gains include reinvested dividends. In the graph above, the start date for PIF4 is shown as Dec 31, 2003 for readability. The correct start date is Oct. 1, 2003.

General Comments

In 2023, the three funds were up between 38.9-44.7% after all fees and expenses versus 26.3% for the S&P 500. We did it with zero exposure to the magnificent seven (Apple, Microsoft, Alphabet, Amazon, NVIDIA, Tesla and Meta)!

All three funds meaningfully outperformed the S&P 500 from their various inception dates through Q2 2018. After that, Pabrai Funds lagged the S&P 500 quite significantly from Q3 2018 through Q1 2020. The funds turned a corner in Q2 2020, and we have trounced the S&P 500 in two of the three funds since then.

PIF4 still has some ground to make up, which it is likely to accomplish in the next few years. PIF4's 44.7% gain in 2023 (after all fees and expenses) was the best of the three funds.

2023 was a very good year for Pabrai Funds. Not just because we had great returns. It was a great year because we found some truly exceptional businesses to add to our portfolio. We don't usually reap the rewards of these good ideas in the year we find them. Fiat Chrysler was a great 2012 bet which delivered rewards 4-6 years later. Similarly, Reysas was a terrific 2019 bet. While we have captured some meaningful Reysas gains already, the motherlode of the eventual upside is likely to come in the next few years.

With $43 million in subscriptions and $65 million in redemptions in the last year, I was forced to sell some positions that I would have preferred to keep. At this point, we have more good investment ideas than available cash to fully act upon them.

We made the decision to terminate the two India funds and the two Junoon funds managed by Dhandho Funds, and we are in the process of returning over $100 million to investors in these funds. Several of these investors have expressed a desire to invest some or all proceeds in Pabrai Funds. We may thus see some robust inflows into Pabrai Funds in April.

Also, SEBI, the SEC equivalent in India, has introduced some new rules that have onerous disclosure requirements for PIF2 and PIF4. To comply, we would need to provide SEBI with the identities and Indian Tax IDs for all our PIF2 and PIF4 investors. If the investment is through a trust or entity, we would need to provide details of the beneficial owners of these entities. The Indian markets are overheated and we have not had any great new investment ideas in India for a while. Thus we have decided that PIF2 and PIF4 will exit India and surrender our Foreign Portfolio Investor (FPI) license and move on. This will free up much needed cash for other ideas.

My only regret here is we will need to sell our Edelweiss Financial position in PIF2 and PIF4. Edelweiss has lots of tailwinds and likely to deliver strong multi-bagger returns in the years ahead. PIF3 is not affected by these new SEBI rules and it will endeavor increase its Edelweiss position to 10% at cost over time.

There are no guarantees, but Pabrai Funds is likely to deliver some very strong gains in the years ahead. We own fractions of some truly marvelous businesses run by outstanding managers and capital allocators. My biggest challenge is to sit quietly in a room and do nothing.

Alignment of Interests

My immediate family has a stake of 167,886 units of PIF2 and 227,121 units of PIF4. The administrative team at Pabrai Funds and I own 42,917 units of PIF4 and 11,773 units of PIF3 in various retirement accounts. In addition, The Dakshana Foundation owns 84,924 units of PIF3. The aggregate stake of the Pabrai family, the Pabrai Funds team and The Dakshana Foundation in Pabrai Funds is worth approximately $41 million.

Pabrai Funds charges no management fee, just performance fees – which are ¼ of the returns over 6% annualized (subject to high-water marks). I only get paid when you make money. When you win, I win. I am very bullish on the long-term future of Pabrai Funds – as demonstrated by my being the second largest investor in the funds. No fees were earned in Q4 2023.

I have an approximately $5.8 million investment in Dhandho Holdings. Additionally, The Dakshana Foundation has an approximately $0.6 million investment in Dhandho Holdings. Besides this, I have no other meaningful interests in any other mutual funds, hedge funds or private equity funds. Our interests are completely aligned.

We have moved!

Earlier this month, Dalal Street closed on the purchase of an office condo about 1.5 miles from our existing office in West Lake Hills in Austin, Texas. We have moved our location to that address permanently. Given that we now own our office, we hope to never move again. Please update your address books to our new address:

4407 Bee Cave Road
Suite 513
West Lake Hills, Texas 78746-6496

Update to Firm Brochure, Brochure Supplement, and Privacy Notice:

We have updated Part 2A of our Form ADV (i.e., our Firm Brochure), Part 2B of our Form ADV (i.e., our Brochure Supplement), and our Privacy Notice to reflect our new office location. The latest versions of these documents can be found in the legal tab of our website: Legal.

Online Portal for Investment Statements

Your 12/31 investor statements have been uploaded to your investor portal. If you have trouble accessing your investor portal or need to reset your password, please contact Kimberly Engleman at ke@pabraifunds.com for assistance.

Final K-1's (for US Investors)

For PIF2 and PIF4 investors, we expect your final K-1s to be uploaded to your portal in March 2024 by Liccar.

Annual Report – Will be out in Q2 2024

Our modus operandi now is to provide expansive commentary in the annual reports and the annual meetings. The quarterly letter will continue to provide updated performance numbers and announcements, but minimal commentary. The annual report is slated to be published in Q2 2024.

Chai With Pabrai Blog

Please check out my blog www.ChaiWithPabrai.com which I try to keep updated. I try to do 1-2 Zoom sessions with students every month. This is about the max. of what I am interested in doing. Here are some recent additions to the blog:

Q&A at Boston College, Carroll School of Management on October 12, 2023

I very much enjoyed my Q&A session with Prof. Arvind Navaratnam's class at Boston College, Carroll School of Management. I talked about the Japan Company Handbook and Moody's Manual, Warren Buffett's Japanese bets and importance of anomalies in investing.

Q&A at Boston College, Carroll School of Management on October 12, 2023

Talk at the YPO Waterloo Austin on October 17, 2023

I very much enjoyed my session with members of YPO at Waterloo, Austin. I talked about the deal of Manhattan islands in the US by the native American Indians in 1626, the magic of compounding and Index investing.

Talk at the YPO Waterloo Austin on October 17, 2023

Suggestion Box

We are always interested in hearing how we can better serve you. Please feel free to email me any suggestions/feedback you may have at mp@pabraifunds.com.

2024 Annual Meeting

There will be two annual meetings held sequentially in 2024: an in-person meeting in Austin, Texas and a virtual meeting. These meetings will cover Pabrai Funds, Dhandho Holdings and Dhandho Funds. We are moving the meetings from September to April.

The **In-Person Austin** meeting is scheduled to be held on **Saturday April 20th, 2024** at 4:00 PM Central Time at:

St. Edwards University
John Brooks Williams Science Center South
3001 South Congress, Austin, Texas 78704-6489 Tel: +1 512-448-8400

St. Edwards has a beautiful campus lined with 100-year-old Texas live oak trees and is only 10 minutes from downtown Austin. It is also a 10-minute drive from Austin-Bergstrom International Airport (AUS).

There are many hotels in downtown Austin and cheaper options 10-15 miles out.

Agenda for the Austin meeting:

4:00 – 4:30 PM:	Meet and Greet
4:30 – 6:30 PM:	Presentation and Q&A
6:30 – 7:15 PM:	Cocktail Hour

The **Virtual** meeting is scheduled to be held via video conference on **Saturday April 27th, 2024** at 1:00 PM US Central Time. Confirmed guests will receive instructions via email on how to attend the virtual meeting.

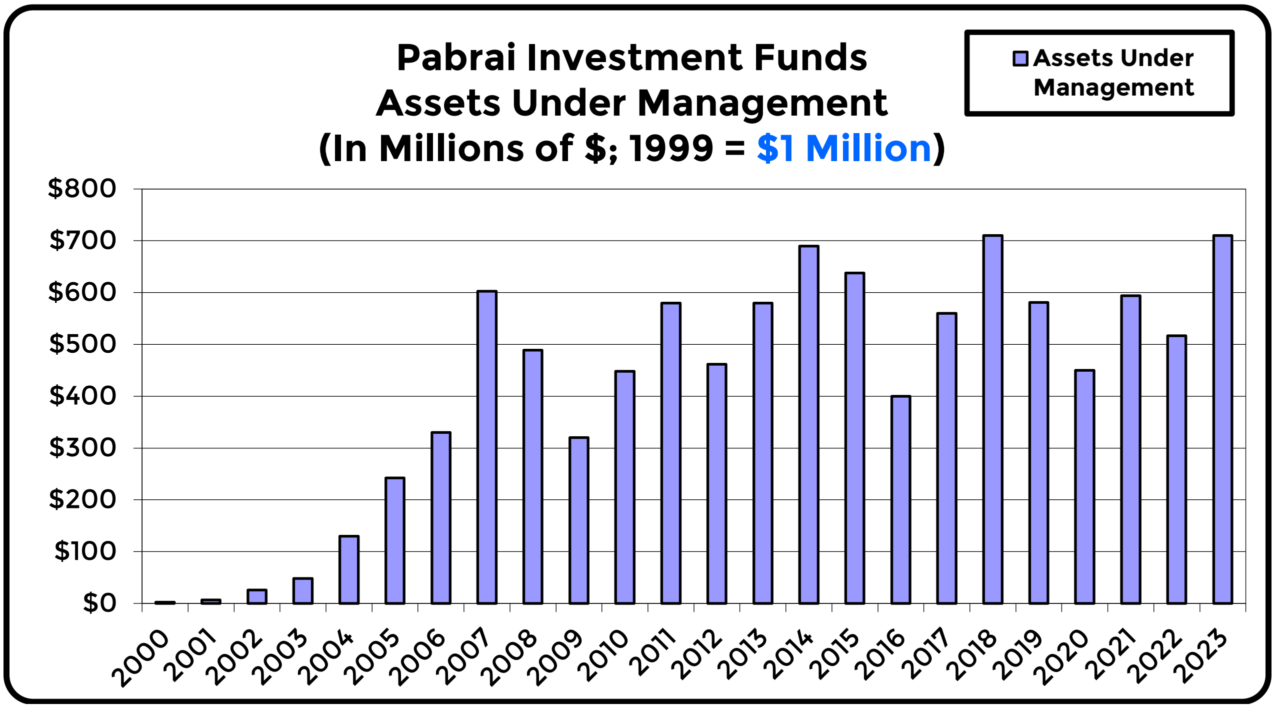
Agenda for the virtual meeting:

1:00 – 3:00 PM US Central Time: Presentation and Q&A

The invites will go out electronically via email in February 2023. Look for it in your inbox! If you don't receive it, please contact invite@pabraifunds.com. Your significant other and young kids are welcome to attend. As we are a Registered Investment Advisor, the SEC requires that all guests must be "accredited investors," which includes your adult kids (22 years or older). The invitation is non-transferable. I look forward to seeing you in April.

Assets Under Management

There is $710 million in assets across all three funds as of December 31, 2023.



Thanks for your continued interest, referrals and support. Feel free to call me at +1512.999.7110 or email me at mp@pabraifunds.com with any queries or comments.

Warm regards,

Mohnish Pabrai

Note: The assets under management in the above graph are as of June 30 for all annual periods. Various indices are included throughout this letter for reference. Reference to an index or benchmark does not imply that the strategy will achieve returns, experience volatility, or have other results similar to the index. As an example, the Funds may invest in foreign securities or fixed income instruments; however the indices presented only include U.S. securities. These indices are purely a basket of stocks, and the Funds may invest in securities other than stocks such as bonds, warrants and preferred stocks. The Funds typically hold fewer than 10 positions as compared to 500 in the S&P, 30 in the DJIA, and thousands in the NASDAQ. Therefore, the Funds are significantly more concentrated than the benchmark indices and may experience notably higher volatility and return characteristics from these indices.

Appendix A

PIF2's Performance History (Net to Investors)

No. of Units	Date	PIF2 NAV
110,000	10/01/2000	$10.00
330,014	06/30/2001	$11.74
1,027,795	06/30/2002	$15.89
1,950,982	06/30/2003	$21.32
2,445,212	06/30/2004	$29.58
2,696,687	06/30/2005	$36.52
2,646,687	06/30/2006	$41.99
3,013,111	06/30/2007	$56.25
2,934,990	06/30/2008	$38.01
2,468,091	06/30/2009	$28.45
2,409,165	06/30/2010	$40.84
2,257,421	06/30/2011	$55.46
2,180,892	06/30/2012	$43.36
2,057,676	06/30/2013	$61.68
1,906,927	06/30/2014	$78.13
1,795,006	06/30/2015	$74.64
1,684,602	06/30/2016	$52.26
1,774,805	06/30/2017	$86.17
1,959,084	06/30/2018	$106.77
1,896,122	06/30/2019	$86.30
1,830,037	06/30/2020	$77.13
1,841,919	06/30/2021	$107.77
1,859,576	06/30/2022	$76.64
1,885,954	09/30/2022	$75.82
1,851,599	12/31/2022	$94.21
1,860,621	03/31/2023	$89.00
1,889,944	06/30/2023	$95.50
1,914,479	09/30/2023	$131.33
1,861,689	12/31/2023	$130.96

PIF3's Performance History (Net to Investors)

No. of Units	Date	PIF3 NAV
65,100	02/01/2002	$10.00
265,919	12/31/2002	$9.48
485,041	12/31/2003	$18.63
1,774,753	12/31/2004	$21.37
2,478,793	12/31/2005	$21.32
2,930,608	12/31/2006	$29.37
6,438,615	12/31/2007	$27.09
5,415,189	12/31/2008	$10.57
5,038,658	12/31/2009	$23.79
4,885,267	12/31/2010	$31.95
4,701,613	12/31/2011	$26.92
4,318,818	12/31/2012	$33.21
4,384,591	12/31/2013	$48.70
4,290,222	12/31/2014	$49.61
3,805,336	12/31/2015	$41.33
2,433,652	12/31/2016	$42.27
2,409,693	12/31/2017	$88.45
2,473,097	12/31/2018	$51.42
2,376,897	12/31/2019	$57.85
2,326,717	12/31/2020	$68.52
2,442,868	12/31/2021	$58.11
2,698,641	09/30/2022	$47.22
2,795,778	12/31/2022	$67.86
2,812,505	03/31/2023	$65.12
2,873,656	06/30/2023	$71.22
2,879,134	09/30/2023	$101.12
2,733,774	12/31/2023	$94.28

PIF4's Performance History (Net to Investors)

No. of Units	Date	PIF4 NAV
595,030	10/01/2003	$10.00
1,219,330	12/31/2003	$10.84
5,627,712	12/31/2004	$12.40
9,314,803	12/31/2005	$13.01
11,528,331	12/31/2006	$17.23
16,899,746	12/31/2007	$16.64
15,737,042	12/31/2008	$6.66
15,725,066	12/31/2009	$14.57
15,251,129	12/31/2010	$19.05
14,493,713	12/31/2011	$16.24
12,398,564	12/31/2012	$18.85
11,560,683	12/31/2013	$27.53
10,642,015	12/31/2014	$28.03
9,531,764	12/31/2015	$23.71
8,792,042	12/31/2016	$25.21
8,040,030	12/31/2017	$40.96
7,809,565	12/31/2018	$31.64
6,628,989	12/31/2019	$37.33
6,034,088	12/31/2020	$34.82
5,783,836	12/31/2021	$35.33
6,326,745	09/30/2022	$24.48
5,749,279	12/31/2022	$26.69
5,825,152	03/31/2023	$25.20
5,962,980	06/30/2023	$26.44
6,096,644	09/30/2023	$36.30
5,386,505	12/31/2023	$38.62

Past performance is not indicative of future results. Returns are presented net of all fees and expenses, include the reinvestment of income and are calculated using a simple rate of return. The securities discussed do not represent all securities recommended for the Funds. It is also not a recommendation to buy or sell and one should not presume they will be profitable.

Please be aware that our past newsletters may discuss specific securities that have performed well without necessarily addressing those that have underperformed within our Fund(s). Readers should not infer that all investment decisions within the Funds were profitable.